

A false picture

But this may not give a true picture of how rich different countries are.

Although the US has the largest GDP of all countries, there are others that are comparatively better off. A country like Luxembourg, for example, has a much smaller economy measured by GDP, but because its population is very small, people in Luxembourg are much richer on average than in the US.

There are also countries that have a fairly large GDP, but are considered poor because of their huge populations.

A more accurate measure of how rich the people of a country are is GDP per capita—the total value of goods and services divided by the number of people in the country. GDP per capita is often used to give an idea of the standard of living of one country compared with another. But this too can be misleading, since it only shows us an average of how rich each inhabitant is.

In many countries, the wealth is unevenly distributed, and most of the population may be living in poverty while a privileged few live in luxury.

It's also tricky to compare the standard of living between countries because the cost of living may also be different. A person living comfortably in India, for example, would find it difficult to survive on the same income in Sweden, because things are much more expensive there. GDP per capita is usually a measure of a country's economic activity over one year. Over time, these figures build up a picture of the economic growth of the country, whether it is becoming richer or poorer, and by how much.